

9-3a Discarding Fixed Assets

If a fixed asset is no longer used and has no residual value, it is discarded. For example, assume that a fixed asset is fully depreciated, has no residual value, and is discarded. The discarded asset and its accumulated depreciation are removed from the accounts and ledger.

To illustrate, assume that equipment acquired at a cost of \$25,000 is fully depreciated. On February 14, the equipment is discarded. The entry to record the discard is as follows:

Feb. 14		Accumulated Depreciation—Equipment	25,000		
		Equipment		25,000	
To write off equipment discarded.					
Assets		=	Liabilities	+	Stockholders' Equity
Equipment	Accumulated Depreciation				
25,000	25,000				

If an asset has not been fully depreciated, depreciation should be recorded before removing the asset from the accounting records. To illustrate, assume that equipment costing \$6,000 with no estimated residual value is depreciated at a straight-line rate of 10%. The accumulated depreciation balance, after adjusting entries, is \$4,650 on December 31. On March 24 of the following year, the asset is removed from service and discarded. The entry to record the depreciation for the three months before the asset is discarded is as follows:

Mar. 24		Depreciation Expense—Equipment	150		
		Accumulated Depreciation—Equipment		150	
To record current depreciation on equipment discarded (\$600 × 3/12).					
Assets		=	Liabilities	+	Stockholders' Equity
Accumulated Depreciation					Depreciation Expense
150					150

The discarding of the equipment is then recorded as follows:

Mar. 24		Accumulated Depreciation—Equipment	4,800		
		Loss on Disposal of Equipment	1,200		
		Equipment		6,000	
To write off equipment discarded.					
Assets		=	Liabilities	+	Stockholders' Equity
Equipment	Accumulated Depreciation				Loss on Disposal of Equipment
6,000	4,800				1,200

The loss of \$1,200 is recorded because the book value of the asset (\$6,000 – \$4,800) is greater than the amount received for the asset (\$0). Losses on the discarding of fixed assets are reported in the “Other revenue” section of the income statement.

Chapter 9: Long-Term Assets: Fixed and Intangible: 9-3a Discarding Fixed Assets

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